

Reinsurance Treaty - EX2025001 - 2

Treaty Number:	EX2025001
Cedent:	Example Cedent Inc.
Reinsurer:	Example Reinsurer Corp.
Effective Date:	01 January 2025
Expiry Date:	31 December 2025
Treaty Type:	Unknown

QUOTA SHARE REINSURANCE TREATY

TREATY NUMBER: EX2025001_2

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****BETWEEN****

****EXAMPLE CEDENT INC.****

(hereinafter referred to as "the Company" or "the Reinsured")

****AND****

****EXAMPLE REINSURER CORP.****

(hereinafter referred to as "the Reinsurer")

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ARTICLE 1: PARTIES AND EFFECTIVE PERIOD

1.1 Parties

This Quota Share Reinsurance Treaty is entered into between:

****The Company:****

Example Cedent Inc.

Registered Office: [Address]

Registration Number: [Number]

****The Reinsurer:****

Example Reinsurer Corp.

Registered Office: [Address]

Registration Number: [Number]

1.2 Effective Period

This Treaty shall be effective from ****01 January 2025 00:01 hours local standard time**** at the location of the risk and shall continue in force until ****31 December 2025 24:00 hours local standard time**** at the location of the risk (hereinafter referred to as "the Treaty Period").

1.3 Risks Attaching Basis

This Treaty shall apply to all insurance and reinsurance policies issued or renewed by the Company during the Treaty Period, and shall cover all losses occurring under such policies regardless of when such losses occur.

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ARTICLE 2: BUSINESS COVERED

2.1 Classes of Business

The Reinsurer agrees to accept a quota share participation in the following classes of business underwritten by the Company:

****a) Property Insurance:****

- Commercial Property

- Industrial Property
- Residential Property (excluding single-family dwellings under USD 500,000)
- Business Interruption
- All Risks Property

****b) Casualty Insurance:****

- General Liability
- Products Liability
- Professional Indemnity
- Employers' Liability
- Public Liability

****c) Marine Insurance:****

- Marine Hull
- Marine Cargo
- Marine Liability

****d) Energy Insurance:****

- Onshore Energy
- Offshore Energy (excluding deep water operations exceeding 1,500 meters)

2.2 Territorial Scope

This Treaty shall apply to risks located in or originating from:

- United States of America (excluding Alaska and Hawaii for Energy business)
- Canada
- United Kingdom
- European Union member states
- Australia

2.3 Excluded Business

The following classes and types of business are specifically excluded from this Treaty:

- a) Aviation and Space risks
- b) Nuclear energy risks and nuclear material damage
- c) War, terrorism, and political violence risks (unless specifically included by endorsement)
- d) Cyber and data breach liability (as primary coverage)
- e) Asbestos-related claims
- f) Pollution liability (as primary coverage)
- g) Professional Indemnity for financial institutions with assets exceeding USD 10 billion
- h) Any business written on a non-proportional or excess of loss basis
- i) Life, accident, and health insurance
- j) Credit and surety insurance
- k) Crop and agricultural insurance
- l) Any business written in violation of applicable sanctions or embargo regulations

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ARTICLE 3: REINSURANCE SHARE AND RETENTION

3.1 Quota Share Percentage

The Reinsurer agrees to accept ****40%**** (forty percent) of the Company's net retained liability on each and every risk within the scope of this Treaty.

The Company shall retain for its own account ****60%**** (sixty percent) of its net retained liability.

3.2 Definition of Net Retained Liability

Net retained liability shall mean the amount of insurance accepted by the Company after deduction of:

- a) Any reinsurance ceded to facultative reinsurers
- b) Any reinsurance ceded under other reinsurance treaties with an earlier ceding priority
- c) Any retrocessions arranged by the Company

3.3 Original Policy Limits

The Company shall not cede to this Treaty any portion of risks where the original policy limit exceeds:

- Property Risks: USD 50,000,000 any one risk
- Casualty Risks: USD 25,000,000 any one occurrence
- Marine Hull: USD 100,000,000 any one vessel
- Marine Cargo: USD 15,000,000 any one conveyance
- Energy Risks: USD 75,000,000 any one location

3.4 Automatic Binding Authority

The Company has full automatic binding authority up to the limits specified in Article 3.3 without prior reference to the Reinsurer.

3.5 Facultative Obligatory Extension

For risks exceeding the limits specified in Article 3.3, the Company may offer participation to the Reinsurer on a facultative obligatory basis, subject to:

- a) Prior written submission to the Reinsurer
- b) Reinsurer acceptance within 10 business days
- c) Maximum facultative limit of USD 100,000,000 any one risk
- d) All other terms and conditions of this Treaty to apply

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ARTICLE 4: PREMIUMS

4.1 Premium Basis

The reinsurance premium shall be calculated as ****40%**** of the gross written premium income of the Company on all business within the scope of this Treaty.

4.2 Gross Written Premium Definition

Gross written premium shall include:

- a) All premiums charged by the Company to policyholders

- b) Policy fees and charges (excluding government taxes and levies)
- c) Additional premiums for endorsements and extensions
- d) Reinstatement premiums where applicable
- e) Minimum and deposit premiums

4.3 Premium Adjustments

The reinsurance premium shall be subject to adjustment for:

- a) Return premiums on cancelled policies
- b) Premium refunds for policy modifications
- c) No claims bonuses or discounts allowed to policyholders
- d) Portfolio transfers in or out
- e) Premium rate changes approved by regulatory authorities

4.4 Minimum and Deposit Premium

****Minimum Annual Premium:**** USD 8,000,000

A deposit premium of USD 2,000,000 shall be payable by the Company to the Reinsurer as follows:

- USD 500,000 on 01 January 2025
- USD 500,000 on 01 April 2025
- USD 500,000 on 01 July 2025
- USD 500,000 on 01 October 2025

The deposit premium shall be non-refundable and shall be credited against quarterly premium statements.

4.5 Premium Warranty

The Company warrants that the estimated annual gross written premium for the Treaty Period is approximately USD 50,000,000, subject to normal business fluctuations not exceeding 25%.

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ARTICLE 5: COMMISSION

5.1 Provisional Commission

The Reinsurer shall allow the Company a provisional commission of ****32.5%**** (thirty-two and one-half percent) of the reinsurance premium payable under this Treaty.

5.2 Commission Components

The provisional commission is structured as follows:

- Acquisition costs: 18.0%
- Administrative expenses: 8.5%
- Premium tax allowance: 4.0%
- General overhead: 2.0%

****Total Provisional Commission: 32.5%****

5.3 Commission Payment

Commission shall be calculated and paid quarterly in accordance with Article 7 (Accounts and Payments).

5.4 Sliding Scale Commission

The provisional commission shall be subject to adjustment under the sliding scale commission provisions set forth in Article 6.

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ARTICLE 6: PROFIT COMMISSION

6.1 Profit Commission Structure

In addition to the provisional commission, the Company shall be entitled to a profit commission calculated on the basis of the underwriting results of this Treaty.

6.2 Profit Commission Formula

****Profit Commission = (Adjusted Underwriting Profit) × (Profit Commission Rate)****

Where:

****Adjusted Underwriting Profit** =**

- Reinsurance Premium (100%)
- Less: Reinsurance Losses Paid and Outstanding (including IBNR)
- Less: Reinsurance Loss Adjustment Expenses
- Less: Provisional Commission
- Less: Portfolio Premium Reserve (20% of reinsurance premium)

****Profit Commission Rate:** 25% (twenty-five percent)**

6.3 Loss Ratio Sliding Scale

The provisional commission shall be adjusted according to the following sliding scale based on the loss ratio for the Treaty Period:

| Loss Ratio | Commission Rate |

|-----|-----|

| 0% - 50% | 35.0% |

| 50.01% - 55% | 34.0% |

| 55.01% - 60% | 33.0% |

| 60.01% - 65% | 32.5% |

| 65.01% - 70% | 31.5% |

| 70.01% - 75% | 30.0% |

| Above 75% | 28.0% |

****Loss Ratio = (Incurred Losses + LAE) ÷ Net Reinsurance Premium × 100****

6.4 Profit Commission Calculation Period

Profit commission shall be calculated at:

- 12 months after expiry of the Treaty Period (preliminary calculation)
- 24 months after expiry of the Treaty Period (intermediate calculation)
- 36 months after expiry of the Treaty Period (final calculation)

6.5 Profit Commission Payment Terms

- a) Any profit commission due shall be credited to the Company's account within 30 days of the calculation date
- b) If subsequent calculations show reduced profit, the Company shall refund the difference
- c) Maximum profit commission payable: 15% of net reinsurance premium
- d) No profit commission shall be payable if the loss ratio exceeds 80%

6.6 Carried Forward Deficit

Any underwriting deficit at the 36-month calculation shall be carried forward and offset against profits arising in subsequent treaty years, subject to a maximum carry-forward period of 3 years.

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ARTICLE 7: ACCOUNTS AND PAYMENTS

7.1 Quarterly Bordereaux

The Company shall render to the Reinsurer detailed quarterly bordereaux statements within ****45 days**** following the end of each calendar quarter containing:

****Premium Bordereau:****

- a) Policy number and inception date
- b) Name and address of the insured
- c) Type and location of risk
- d) Original policy limit and deductible
- e) Period of insurance

- f) Gross premium charged
- g) Company's net retained amount
- h) Reinsurance premium due (40%)
- i) Commission allowance
- j) Net amount due to/from Reinsurer

****Loss Bordereau:****

- a) Policy number and insured's name
- b) Date of loss occurrence
- c) Description and cause of loss
- d) Gross loss amount (paid and outstanding)
- e) Loss adjustment expenses
- f) Company's net retained amount
- g) Reinsurer's share (40%)
- h) Salvage and subrogation recoveries
- i) Loss reserve changes

7.2 Annual Statement

Within ****90 days**** after the expiry of the Treaty Period, the Company shall provide a comprehensive annual statement including:

- a) Summary of all premiums and losses
- b) Loss ratio analysis by class of business
- c) Large loss details (exceeding USD 500,000)
- d) Sliding scale commission calculation
- e) Profit commission preliminary calculation
- f) Outstanding loss reserves and IBNR provisions

7.3 Payment Terms

- a) All balances shown on quarterly statements shall be settled within ****30 days**** of statement date
- b) Payments shall be made in United States Dollars (USD)
- c) Wire transfer instructions to be provided separately

d) Interest on overdue balances shall accrue at SOFR + 2% per annum

7.4 Currency

All transactions under this Treaty shall be conducted in United States Dollars (USD). Where original policies are written in other currencies, conversion shall be made at the exchange rate prevailing on the date of:

- Premium: Policy inception date
- Loss: Loss payment date or reserve establishment date

7.5 Right of Offset

Both parties shall have the right to offset any balances due to or from each other under this Treaty or any other agreement between the parties.

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ARTICLE 8: LOSSES AND LOSS ADJUSTMENT

8.1 Loss Participation

The Reinsurer shall participate in all losses and loss adjustment expenses in the same proportion as its share of the premium (40%).

8.2 Definition of Loss

Loss shall include:

- a) All amounts paid or payable by the Company under original policies
- b) Loss adjustment expenses (both allocated and unallocated)
- c) Legal defense costs
- d) Extra-contractual obligations (ECO) arising from the Company's handling of claims
- e) Costs of litigation and arbitration
- f) Bad faith damages where covered by the original policy
- g) Punitive and exemplary damages where insurable by law

8.3 Loss Adjustment Expenses

****Allocated Loss Adjustment Expenses (ALAE):****

The Reinsurer shall pay its proportionate share (40%) of all ALAE including:

- Independent adjuster fees
- Legal fees specific to individual claims
- Expert witness fees
- Court costs and filing fees
- Investigation expenses

****Unallocated Loss Adjustment Expenses (ULAE):****

The Reinsurer shall pay its proportionate share (40%) of ULAE at a rate of ****3.5%**** of gross incurred losses.

8.4 Loss Settlement Authority

****a) Binding Authority:****

The Company has full authority to settle claims up to USD 1,000,000 (Company's net retention: USD 600,000) without reference to the Reinsurer.

****b) Consultation Required:****

Claims exceeding USD 1,000,000 shall be reported to the Reinsurer within 10 business days of notification, but the Company retains settlement authority.

****c) Prior Approval Required:****

The following claims require prior written approval from the Reinsurer:

- Total claims exceeding USD 5,000,000
- Claims involving coverage disputes with potential excess of policy limits
- Claims involving allegations of bad faith or extra-contractual obligations
- Claims requiring commutation or structured settlement
- Any claim recommended for denial where the Company's exposure exceeds USD 500,000

8.5 Large Loss Notification

The Company shall notify the Reinsurer within ****72 hours**** of any loss which is likely to result in a claim to the Reinsurer exceeding USD 500,000, providing:

- Preliminary loss estimate
- Description of the incident
- Policy details and coverage analysis
- Initial reserve recommendation

8.6 Loss Reserves

The Company shall establish and maintain adequate loss reserves in accordance with:

- a) Generally Accepted Accounting Principles (GAAP)
- b) Statutory accounting requirements
- c) Sound actuarial practices
- d) Prudent claims management standards

The Reinsurer shall accept the Company's loss reserves as reported in quarterly bordereaux, subject to the right to review and discuss reserve adequacy.

8.7 IBNR Reserves

The Company shall establish Incurred But Not Reported (IBNR) reserves using recognized actuarial methods. The Reinsurer's share of IBNR shall be included in quarterly loss bordereaux.

8.8 Salvage and Subrogation

All salvage and subrogation recoveries shall be shared between the Company and the Reinsurer in proportion to their respective shares of the loss (60% / 40%).

The Company shall pursue salvage and subrogation opportunities diligently and keep the Reinsurer informed of material developments.

Expenses incurred in pursuing salvage and subrogation shall be shared in the same proportion, with priority given to recovery of such expenses before distribution of net recoveries.

8.9 Ex Gratia Payments

The Reinsurer shall not be liable for any ex gratia payments made by the Company without the Reinsurer's prior written consent.

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ARTICLE 9: SPECIAL PROVISIONS

9.1 Catastrophe Aggregation

For the purpose of this Treaty, a catastrophe shall be defined as any single event or series of events arising from one occurrence that results in:

- Multiple claims under policies covered by this Treaty, and
- Aggregate gross incurred losses exceeding USD 5,000,000

The Reinsurer's liability for any single catastrophe event shall not exceed ****USD 25,000,000****.

9.2 Catastrophe Reinstatement

In the event that the catastrophe limit is exhausted or reduced by 50% or more, the Company may purchase one reinstatement of the full catastrophe limit for a premium equal to ****100%**** of the original annual reinsurance premium, pro-rated for the unexpired period of the Treaty.

9.3 Clash Cover

Where a single loss event results in claims under two or more classes of business covered by this Treaty, the Reinsurer's total liability shall be subject to an aggregate clash limit of ****USD 30,000,000**** any one occurrence.

9.4 Portfolio Withdrawal

The Company shall not have the right to withdraw any portfolio of business from this Treaty during the Treaty Period except:

- a) Upon sale or disposal of a business unit (with 90 days prior notice